

5.—(1) This Act may be cited as the House-Letting and Rating (Scotland) Act, 1920, and the House-Letting and Rating (Scotland) Act, 1911, and this Act may be cited together as the House-Letting and Rating (Scotland) Acts, 1911 and 1920. Citation and extent.

(2) This Act shall extend to Scotland only.

CHAPTER 9.

An Act to provide for the variation of the provisions regulating the raising of Capital by Companies carrying on certain statutory undertakings. [20th May 1920.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :

1.—(1) Where a company are authorised by special Act to raise capital by the issue of stock or the borrowing of money for the purpose of carrying on any undertaking to which this Act applies, or where the powers of a company to raise capital or borrow money for the purpose of carrying on such an undertaking are limited by the special Act, the company may, if they think fit, notwithstanding anything in the special Act, with the consent of the appropriate Government department, which consent may be given subject to such terms and conditions as appear to the department to be expedient— Powers under provisions of special Acts and Orders as to capital issues.

- (a) offer for subscription by the public any such stock and at a fixed price lower than the nominal amount of the stock, and all allotments in respect of such stock shall be made as nearly as possible pro rata :

Provided that, if in any case, where the amount of money to be raised does not exceed twenty thousand pounds, it is proved to the satisfaction of the appropriate department that the observance of any of the limitations so imposed on the offering for subscription or allotment of stock would prejudice the success of the issue or the realisation of the best price obtainable, the department may dispense with such limitation ;

- (b) where the special Act authorises the creation and issue of ordinary stock, create and issue redeemable or irredeemable preference stock in lieu thereof ;
- (c) where the special Act authorises the creation and issue of irredeemable preference or debenture stock, create and issue redeemable preference or debenture stock ;

- (d) where the special Act authorises the creation and issue of debenture stock or the borrowing of money to a limited extent, create and issue debenture stock or borrow money to an extent not exceeding half the share capital for the time being issued and paid up ;
- (e) pay a higher rate of dividend or interest on preference stock or debenture stock or money borrowed than that authorised by the special Act :

Provided that—

- (i) the department shall require a company making application to them for their consent under this Act to give notice of the application in writing to the council of each county, borough, or urban or rural district within which any part of the undertaking or limits of supply of the company is situate, and of the manner in which and time within which representations may be made with respect to the application, and the department shall consider any representations which may be duly made ;
- (ii) preference stock, whether redeemable or otherwise, shall not be issued under the authority of this Act to a greater extent than shall be sufficient to produce, including any premium which may be obtained on the sale thereof, an amount equal to the nominal amount of the stock authorised to be issued by the special Act or, as the case may be, the amount authorised to be raised by the special Act ; and
- (iii) no consent given by a department in pursuance of this Act shall have effect until a report of the circumstances of the case has been presented to Parliament by the department and has lain upon the table of each House of Parliament for a period of not less than twenty-one days during which the House has sat, and, if either House during that period presents an Address to His Majesty praying that consent may be withheld, no such consent shall be given ; and
- (iv) the provisions contained in the Schedule to this Act shall apply in respect of redeemable preference or debenture stock issued in pursuance of this Act ; and
- (v) preference stock issued under the authority of this Act shall not affect any preference or priority as to the payment of dividends or capital enjoyed by any preference stock existing at the date of such issue, except with the sanction of three-fourths of the votes of the holders of that stock present (personally or by proxy) at a meeting of those stockholders specially convened for the purpose ; and

(vi) debenture stock issued under the authority of this Act shall not affect any priority as to the payment of interest or capital enjoyed by any debenture stock existing at the date of that issue except with the sanction of three-fourths of the votes of the holders of such stock.

(2) The undertakings to which this Act applies are undertakings for the supply of gas, water, hydraulic power, and electricity, and tramway undertakings, including light railways constructed wholly or mainly on public roads.

(3) For the purposes of this Act—

The expressions “ stock ” and “ stockholder ” include shares and shareholder ;

The expression “ special Act ” includes Provisional Orders and orders having the force of an Act of Parliament ;

The expression “ appropriate Government department ” means in relation to gas, water, and hydraulic power undertakings the Board of Trade, and in relation to electricity and tramway undertakings the Minister of Transport.

2.—(1) This Act may be cited as the Public Utility Companies (Capital Issues) Act, 1920. Short title
and duration.

(2) This Act shall continue in force for five years and no longer, unless Parliament otherwise determines, but the expiration of this Act shall not affect the validity of anything done in pursuance thereof.

SCHEDULE.

Section I.

PROVISIONS RELATING TO REDEEMABLE STOCK.

1. The company may create and issue any preference or debenture stock which they are authorised to create and issue so as to be redeemable on such terms and conditions as may be specified in a resolution of the company passed at a special meeting convened for the purpose.

2. If it is so provided in the resolution, the company may—

(i) call in and pay off the stock, or any part thereof, at one hundred pounds for every one hundred pounds stock at any time before the date fixed for redemption ;

(ii) redeem the stock, or any part thereof, either by paying off the stock or by issuing to any stockholder, subject to his consent, other stock in substitution therefor, and may, for the purpose of providing money for paying off the stock or providing substituted stock, create and issue new stock (redeemable or irredeemable) or re-issue stock originally created and issued as aforesaid ; so, however, that

the creation and issue for that purpose of any particular class of stock does not make the total nominal amount of such stock exceed the amount of that class of stock which the company are for the time being authorised to create except during the necessary interval between the creation and issue of the new stock and the redemption of the old stock.

3. Save as hereinafter provided, the company shall not redeem out of revenue any preference or debenture stock so created and issued as aforesaid, but the company may, if they think fit at any time during a period of ten years from the creation and issue of any such preference or debenture stock, redeem out of revenue to an amount to be approved by the appropriate Government department, any such stock created and issued for the purpose of defraying abnormal reparation expenditure due to circumstances arising out of the present war, and such redemption may be effected either by way of the repayment by annual instalments of the said sum, or by way of a sinking fund calculated to pay off the same at the expiration of the period aforesaid.

CHAPTER 10.

An Act to amend the Acts relating to National Health Insurance. [20th May 1920.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :

Provisions as
to contribu-
tions.

1 & 2 Geo. 5.
c. 55.

1.—(1) The contributions payable under the Act of 1911 in respect of employed contributors shall be at the rates set out in the First Schedule to this Act, instead of at the rates specified in the Second Schedule to the Act of 1911, and references in any enactment to the said Second Schedule or to Part I. or Part II. of that Schedule shall be construed as references to the First Schedule to this Act or to Part I. or Part II. of that Schedule respectively.

(2) The proviso to subsection (1) of section four of the Act of 1911 (which provides for the payment out of moneys provided by Parliament of part of the contributions payable in respect of low-wage earners) shall cease to have effect.

7 & 8 Geo. 5.
c. 62.

(3) Section ten of the Act of 1918, (which relates to the rate of the employer's contribution in the case of an employee holding a certificate of exemption), shall have effect as though fivepence and fourpence were therein substituted for threepence and twopence halfpenny respectively.

(4) The provisions of section three of the Act of 1911, (which prescribes the proportions in which the funds for providing benefits and defraying expenses of administration are to be